From MGNREGA to VB-G RAM G: Implementation Gaps and Recommendations

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Summary

VB-G RAM G raises the rural work guarantee from 100 to 125 days. But under MGNREGA, households averaged only about 48 days a year, and fewer than 10% completed 100. So the binding constraint was never the legal ceiling. It was funding, state capacity and accountability. The new law shifts 40% of costs to most states and caps central funds at a normative allocation, which risks widening that gap in states with weak finances or capacity.

This brief recommends that Parliament track three things: whether states release their 40% share on time, whether unemployment allowance and delay compensation are actually paid, and whether social audits reach every Gram Panchayat.

Background

Parliament passed the VB-G RAM G Act in December 2025 to replace MGNREGA (2005). It came into force nationwide on 1 July 2026. Key changes:

Feature	MGNREGA	VB-G RAM G
Days guaranteed per household	100	125
Funding model	Demand-driven	Normative state-wise allocation set by the Centre; any excess borne by the state
Centre : state cost share	Centre paid 100% of wages, 75% of materials (about 90% of total spending)	60:40 (90:10 for North-Eastern and Himalayan states)
Minimum wage	State-wise, linked to CPI-AL	Notified state-wise; no state below ₹300/day
Monitoring	Social audits by Gram Sabhas	Social audits plus face authentication and geo-tagging

Budget 2026-27 (₹ crore): VB-G RAM G 95,692; MGNREGS 30,000 for the transition and pending dues, down 66% from 88,000 in 2025-26 (RE). The Centre released a first instalment of ₹25,863 crore to states in July 2026.

Implementation Challenges

1. The guarantee was rarely met, even at 100 days. Over the past decade, households averaged about 48 days of work a year, and under 10% completed 100 days. The Economic Survey 2023-24 linked delivery to each state's institutional capacity, not just demand.

2. Cost shift to states. States previously funded roughly 10% of spending. Under the 60:40 split, poorer states must find much larger sums, and any work beyond the Centre's normative allocation is fully on them. Telangana has implemented the scheme but announced a Supreme Court challenge to protect state interests.

3. Wages below notified rates. As of December 2025, workers in 20 of 31 states and UTs received less than the notified wage. In Rajasthan, workers were paid ₹221 on average against a notified ₹281.

4. Unemployment allowance is almost never paid. Between 2019-20 and 2024-25, only about 8% of allowance due was paid. In 2025-26 (as of February 2026), the figure was 2%. VB-G RAM G keeps the same provision, and states still pay it.

5. Weak social audits. By December 2025, only 63% of 2.7 lakh Gram Panchayats had held at least one social audit that year. One Panchayat Secretary manages 17 GPs on average.

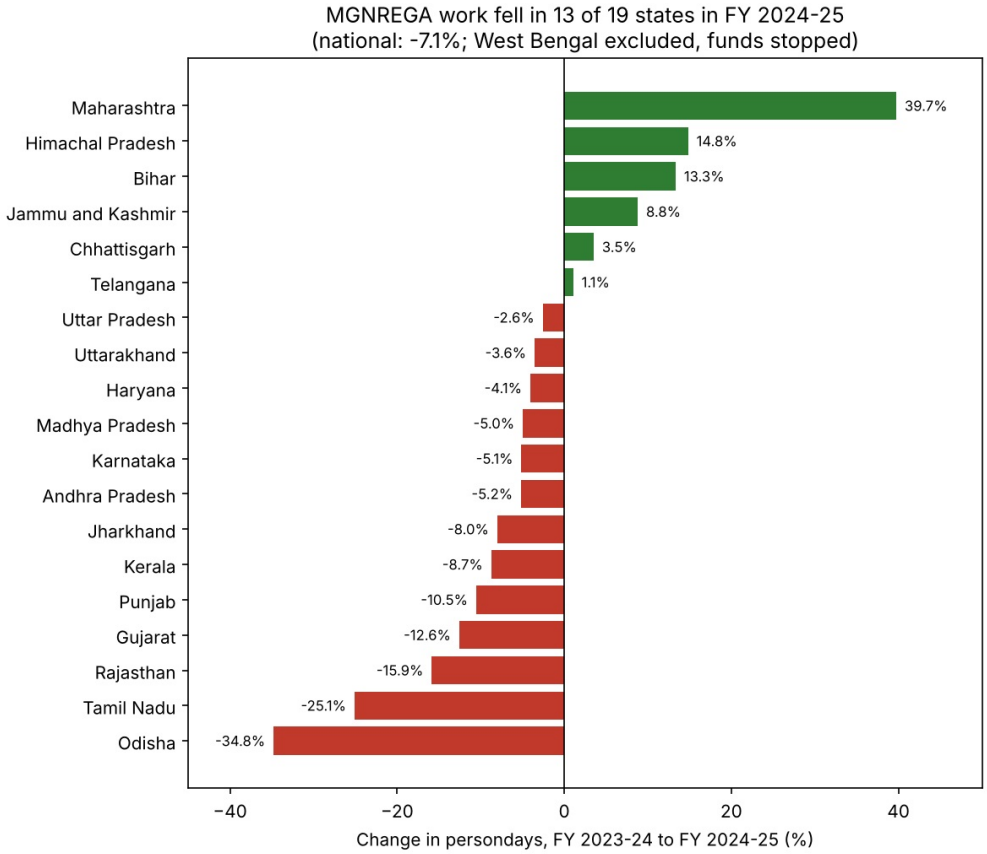
6. Transition dues. Worker groups estimated about ₹15,000 crore in pending MGNREGA liabilities. That could absorb half of the ₹30,000 crore transition allocation.

State-Level Analysis

The wage gap is widest in Rajasthan (21%) and Tamil Nadu (20%), where workers received about a fifth less than the notified rate in 2025.

State	Notified wage (₹/day)	Average paid (₹/day)	Shortfall
Rajasthan	281	221	21%
Tamil Nadu	336	268	20%
Telangana	307	259	16%
Andhra Pradesh	307	268	13%
Gujarat	288	264	8%
Karnataka	370	342	8%
Chhattisgarh	261	245	6%

Source: MGNREGA Dashboard via PRS, accessed February 2026.



Change in MGNREGA persondays by state, FY 2023-24 to FY 2024-25

Findings from my analysis of FY 2024-25 data (19 states):

- Work fell in 13 of 19 states. Nationally, persondays dropped 7.1%, from 288.8 to 268.4 crore.
- The steepest falls were in Odisha (−34.8%), Tamil Nadu (−25.1%) and Rajasthan (−15.9%). Rajasthan and Tamil Nadu also had the largest wage shortfalls, around 20% each.
- Maharashtra's work rose 39.7%, yet 63% of its registered workers are ineligible for Aadhaar-based payment. Gujarat (58%) and Jharkhand (38%) follow. Rising work does not mean everyone who needs it can get it.
- West Bengal recorded zero persondays because central funds were stopped in March 2022. It is the clearest case of how funding decisions, not demand, drive outcomes.

Data: LibTech India national tracker (from nrega.nic.in, April 2025). Code and data are in the `mgnrega-analysis` folder.

Recommendations

1. **Publish normative allocations and their formula.** States should know their central ceiling before the year begins, so demand isn't turned away mid-year.
2. **A transition fund for low-capacity states.** Phase in the 40% share over 2–3 years for states whose own revenue is below the national median.
3. **Make delay compensation automatic.** Calculate it in the payment system and pay it without a claim, since manual claims have yielded 2–8% of dues.
4. **Fund Panchayat staffing for audits.** Tie a small share of administrative funds to filling Panchayat Secretary posts, with the target that every GP holds at least one social audit a year.
5. **Clear MGNREGA dues on a published schedule.** Report pending liabilities by state each quarter until they are cleared.
6. **Revise the wage base year.** The Standing Committee (2024, 2025) recommended updating the 2009-10 CPI-AL base so wages keep pace with inflation.

Draft Parliamentary Questions

To be asked of the Minister of Rural Development:

Q1 (Starred). Will the Minister be pleased to state: (a) the state-wise normative allocation fixed under VB-G RAM G for 2026-27, and the criteria used; (b) the number of states that have released their full 40% matching share since 1 July 2026; and (c) the steps taken to ensure work demand is not denied once a state's normative allocation is exhausted?

Q2 (Unstarred). Will the Minister be pleased to state: (a) the state-wise amount of unemployment allowance and delay compensation due and paid under MGNREGA and VB-G RAM G from 2023-24 to date; and (b) whether the Government proposes to automate such payments?

Q3 (Unstarred). Will the Minister be pleased to state: (a) the state-wise pending liabilities under MGNREGA as of 1 July 2026; and (b) the timeline for clearing them?

Zero Hour Note (talking points)

Issue: Unpaid unemployment allowance under the rural employment guarantee.

Point to make: The law promises an allowance when work isn't given within 15 days. Yet only 2% of what was due in 2025-26 was paid. The guarantee has now been extended to 125 days, but a promise is only as strong as its enforcement.

Ask: That the Ministry publish state-wise allowance dues every quarter, and pay them automatically through the payment system.

Sources

- Demand for Grants 2026-27 Analysis: Rural Development, PRS Legislative Research, February 2026
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- First instalment of ₹25,863 crore released for VB-G RAM G, IANS, July 2026
- Telangana to challenge VB-G RAM G in the Supreme Court, Telangana Today, August 2026
- Wage floor of ₹300 and rollout details, summary of PIB release, July 2026